After the post-war spurt in prices there was a gradual but continuing decline, and agrarian conditions worsened. On top of this came the catastrophe of 1929 and after.

Our contention in the United Provinces in 1931 was that rents should correspond with prices; that is to say, that rent should be reduced to a figure which prevailed in the past when prices were as low as in 1931. Approximately this was so thirty years earlier, about 1901. This was a rough test and its application was not easy as there were many classes of tenants—occupancy, non-occupancy, sub-tenants, etc.—and the worst sufferers were the lowest grade of tenants. The only other test—and this was undoubtedly the fairest—was to find out the capacity of the tenant to pay after making allowances for his cost of production and living wage. But according to this latter test, however low the living expenses are kept, a very large number of holdings in India become wholly uneconomic, and, as we showed by some instances in the U.P. in 1931, many could not pay any rent at all without selling property (if there was any to be sold) or borrowing money at a high rate of interest.

Our U.P. Congress Committee's first and tentative proposal was a general remission of 50 per cent. for all occupancy tenants and a higher percentage for the other tenants who were worse off. When Gandhiji came to the U.P. in May 1931 and visited the Governor, Sir Malcolm Hailey, there was some difference of opinion between them and they could not agree. Soon afterwards he (Gandhiji) issued appeals to the zamindars and tenants of the U.P. In the latter appeal he asked the tenants to pay as much as they could and suggested some figure, which was a somewhat higher figure than the one we had previously given. Our Provincial Committee accepted Gandhiji's figure, but that did not help matters much, as Government would not agree to it.

The Provincial Government was in a difficult position. The land tax was its chief source of income, and it could not permit this to vanish away or reduce it very greatly without facing bankruptcy. On the other hand, it had a wholesome fear of an agrarian upheaval and wanted to soothe the tenantry, as far

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agriculturists is stupendous, being modestly estimated at Rs.200 crores." This new figure is almost 50 per cent. in excess of the Banking Inquiry Committee's estimate. If this rate of increase holds good for the other provinces also, the present (1934) all-India figure for agricultural indebtedness should be over 1200 crores of rupees (a crore = ten millions).